

# Corporate Business Travel, Lodging & Expense Reimbursement Policy

|          |                              |                |                 |              |             |
|----------|------------------------------|----------------|-----------------|--------------|-------------|
| CATEGORY | Payroll & Expense Management | EFFECTIVE DATE | January 1, 2026 | REVIEW CYCLE | Annual / Q4 |
|----------|------------------------------|----------------|-----------------|--------------|-------------|

## Article 1. Travel Authorization & Corporate Booking Platform

Nexus Corporation authorizes business travel that directly advances customer relationships, sales goals, or corporate expansion. All travel arrangements must be prudent, economically justified, and pre-approved by appropriate authorized managers.

| Travel Category                      | Pre-Approval Lead Time      | Mandatory Sign-off Authority                 |
|--------------------------------------|-----------------------------|----------------------------------------------|
| Domestic Travel (<\$2,000)           | At least 14 days in advance | Department Head / Direct Director            |
| Domestic High-Cost Travel (>\$2,000) | At least 21 days in advance | Department Vice President (VP)               |
| International Business Travel        | At least 30 days in advance | Executive VP & Chief Financial Officer (CFO) |

- All travel must have prior written approval before booking tickets or incurring non-refundable charges.
- Mandatory Booking Tool: All flights, hotels, and rental vehicles must be booked through Navan (corporate travel portal).
- Off-platform bookings are strictly non-reimbursable unless Navan customer support explicitly validates technical unavailability.

### REGULATORY MANDATE & REQUIREMENT:

Duty of Care: Booking through Navan enables corporate security to locate and extract travelers immediately in international emergencies.

Article 2. Airfare Standards, Rail Travel & Ground Transportation

Air travel represents a substantial operational commitment and must be booked in accordance with corporate tier limits. Travelers must select the lowest logical commercial airfare available within 2 hours of desired departure.

| Flight Segment Duration          | Authorized Cabin Class            | Exceptions & Upgrades                            |
|----------------------------------|-----------------------------------|--------------------------------------------------|
| Domestic & Flights under 6 hours | Standard Economy Class            | Preferred seat fees reimbursable under \$50      |
| Continuous Flight over 6 hours   | Premium Economy or Business Class | Pre-approval from Department VP required         |
| Rail Travel (Acela / Eurostar)   | Business Class Rail               | Allowed when faster than door-to-door air travel |

- Economy class is the standard travel booking class for all domestic and short-haul flights.
- Business class booking is only permitted for continuous commercial flight segments exceeding 6 hours duration.
- Ground Transit: Standard rideshare (UberX/Lyft) and taxis are authorized; luxury rides (Uber Black/SUV) are non-reimbursable.
- Personal Vehicle Mileage: Reimbursed at statutory IRS rate (67 cents/mile in 2026), covering all fuel, wear, and insurance.

REGULATORY MANDATE & REQUIREMENT:

Airline lounge memberships, TSA PreCheck, or CLEAR subscriptions are non-reimbursable unless traveling >100,000 miles/year on corporate business.

### Article 3. Hotel Lodging Limits & Nightly City Caps

Nexus Corporation ensures travelers have safe, comfortable, clean accommodations located near business destinations. Nightly room rate limits are benchmarked annually against regional corporate lodging indexes.

| Market Tier             | Nightly Room Cap (excl. tax) | Sample Benchmark Metros                                   |
|-------------------------|------------------------------|-----------------------------------------------------------|
| Standard Metro Areas    | \$200 / Night                | Austin, Denver, Atlanta, Dallas, Phoenix, Berlin          |
| Tier 1 High-Cost Metros | \$320 / Night                | New York, San Francisco, London, Tokyo, Zurich, Paris     |
| Conference Host Hotels  | Conference Rate Approved     | When staying at official venue saves daily ground transit |

- Maximum reimbursable nightly rate for standard hotel rooms is \$200 per night (excluding mandatory municipal taxes).
- For designated Tier 1 high-cost cities, the nightly ceiling is increased to \$320.
- Short-term rentals (Airbnb / VRBO) are reimbursable only when total cost is lower than contracted partner hotel rates.
- Incidental room charges: In-room movies, mini-bar snacks, spa services, and laundry (on trips <5 days) are non-reimbursable.

**REGULATORY MANDATE & REQUIREMENT:**  
Hotel loyalty points and frequent flier miles accrued during corporate travel belong to the employee for personal enjoyment.

Article 4. Daily Meal Per Diem Allowance & Client Dining Caps

Travelers are reimbursed for reasonable, ordinary meal expenditures incurred during overnight corporate travel. We utilize a per diem standard combined with receipt validation for larger dining transactions.

| Meal / Entertainment Type   | Reimbursement Cap                    | Receipt Mandate                             |
|-----------------------------|--------------------------------------|---------------------------------------------|
| Daily Meal Per Diem Cap     | \$75 / Day (\$15 B, \$25 L, \$35 D)  | Itemized receipts required for items >\$25  |
| Client Entertainment Dining | \$100 / Attendee (including tax/tip) | Full attendee roster and commercial purpose |
| Team Celebration Meals      | \$50 / Attendee                      | Advance VP budget sign-off required         |

- The daily meal per diem cap is \$75 per day when traveling on overnight business trips.
- Recommended breakdown: Breakfast: \$15, Lunch: \$25, Dinner: \$35.
- Original itemized receipts are strictly required for any individual meal or transit expense exceeding \$25.
- Client Entertainment: Maximum \$100 per attendee including tax and tip (gratuuity capped at 20%).
- Alcohol is reimbursable only when accompanied by a full meal with external clients or during official offsites.

**REGULATORY MANDATE & REQUIREMENT:**

Summary credit card charge slips showing only the final total are not acceptable; detailed itemized merchant receipts showing items ordered are required.

Article 5. Expense Submission Windows, Receipts & Audit Deadlines

Prompt expense reporting ensures accurate financial forecasting and timely vendor payments. Employees must submit expense claims via the portal within mandatory operational timeframes.

| Expense Milestone            | Operational Deadline        | Consequence of Breach                            |
|------------------------------|-----------------------------|--------------------------------------------------|
| Standard Submission Window   | Within 30 Calendar Days     | Processed within standard 5-day payroll cycle    |
| Late Submission Grace Period | Days 31 to 60 Calendar Days | Requires written justification to VP Finance     |
| Strict Statutory Cutoff      | Past 60 Calendar Days       | Strict rejection; expense will not be reimbursed |

- Expense reports must be submitted within 30 calendar days of the date the expense was incurred.
- Late submissions past 60 days will be rejected and will not be reimbursed by Accounts Payable.
- Corporate Credit Cards: Employees issued corporate cards must reconcile monthly statements within 10 business days.
- Inadvertent personal charges on corporate cards must be reimbursed to the company within 10 business days.

**REGULATORY MANDATE & REQUIREMENT:**

Lost receipts for expenses under \$25 may be certified via an affidavit; repeated affidavits will result in revocation of expense privileges.

Article 6. Non-Reimbursable Expenses, Fraud Detection & Disciplinary Sanctions

Corporate funds must never be diverted to subsidize personal lifestyles, entertainment, or familial expenses. All expense submissions are audited by automated anomaly detection algorithms and human finance reviewers.

| Prohibited Expenditure             | Policy Rationale               | Audit Action                                |
|------------------------------------|--------------------------------|---------------------------------------------|
| Traffic & Parking Citations        | Personal driver responsibility | Flagged and deducted from reimbursement     |
| Companion Travel Expenses          | Personal leisure travel        | Disallowed entirely; personal invoice split |
| Personal Subscriptions / Streaming | Non-business entertainment     | Immediate rejection by Finance              |
| Mini-Bar Snacks & Spa Treatments   | Personal luxury services       | Personal expense; employee self-pay         |

- Strictly Non-Reimbursable: Traffic/parking violations, grooming/spa, seat upgrades without approval, personal streaming subscriptions.
- Intentionally falsified expense claims, duplicate invoice submissions, or claiming personal charges constitutes criminal fraud.
- Violations will result in immediate termination of employment, forfeiture of severance, and potential referral to law enforcement.

**REGULATORY MANDATE & REQUIREMENT:**

Finance conducts quarterly random forensic audits across 10% of all submitted expense reports to ensure uniform policy adherence.